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Subject: Daily Technical Strategy: Time to Shift from Growth into Value
Date: June 4, 2026 at 7:35 PM
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Jun 4, 2026

Daily Technical Strategy

Tickers in Report:

DJIA +N/A%

IVE +0.93%

IVW -0.03%

QQQ -0.57%

RSP +0.78%

RSPH +2.55%

^SPX +0.30%

Prices as of 2026-06-04 19:24:40 ET.

Time to Shift from Growth into Value



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Key Takeaways

- Thursday's broad snapback makes a near-term defensive stance doubtful, as equal-weighted SPX and the DJIA both pushed back to record highs and downtrodden groups like Healthcare and Financials posted strong gains, exactly the participation outside Technology the market had been lacking.
- Until SPX and QQQ can confirm a close at new weekly lows, my call is less about investors being cautious on the overall market; rather it looks prudent to shift from Growth into Value.
- Healthcare is being raised to a technical Overweight on a tactical basis given the breakout of the five-month trend of Healthcare vs. S&P 500

(Both in equal-weighted terms).



Near-term US Equity trends remain constructive, and Thursday's broad snapback argues against the defensive stance that Wednesday's close had suggested, as equal-weighted **^SPX +0.30%** and the **DJIA +N/A%** both pushed back to record highs while the downtrodden Healthcare and Financials groups posted strong gains. That kind of participation from outside Technology is precisely what the market had been lacking. Thus, it's very well possible that no immediate selloff happens just yet; moreover, there might just be rotation as opposed to an immediate drawdown. Rates and Crude remain the key macro swing factors, as both the 10-year yield and WTI Crude look to be late in their bounces, and a probable ceasefire and reopening of the Strait within one to two weeks should flush both lower and support risk assets. My 80-day cycle still allows for choppiness and does suggest some kind of weakness might be likely in US Equities between mid-June and

July expiration. However, Thursday's snapback puts an immediate drawdown somewhat in doubt. The actionable conclusion is to favor Value over Growth into the fall, treating Technology's likely consolidation as a rotation, not the start of a market decline (at least for the time being). Thus, it's wise to consider starting to wean off of Growth and favor Value, and this rotation very well could last until the mid-term Election. For those seeking near-term weakness, a close under today's lows of 7,516.54 in **^SPX +0.30%** and 732.62 in **QQQ -0.57%** is a necessity to cause this to get underway.

Thursday's snapback held the April uptrend as equal-weighted **^SPX +0.30%** and the **DJIA +N/A%** pushed to record highs

^SPX +0.30% and **QQQ -0.57%**'s snapback at key Ichimoku support could very well allow for a push back to new highs sooner rather than later. As shown below, **^SPX +0.30%** held the rising trendline off the early-April lows and found support right near the Ichimoku Conversion line (Tenkan-sen).

The more telling development came beneath the surface, where equal-weighted **^SPX +0.30%** and the **DJIA +N/A%** both pushed back to record highs.

That broadening, alongside strong gains in previously downtrodden groups like Healthcare and Financials, makes Wednesday's brief dip to three-day lows look like a non-event, arguing against adopting a near-term defensive posture. It would now take a daily close back under Thursday's lows to revive the near-term bearish case.

S&P 500 Index (**^SPX +0.30% , daily) – Rebound holds the rising trendline from the April lows while testing Ichimoku support**



Source: TradingView

Growth versus Value has reached important resistance, so it's right to take money off the table in Growth and favor Value

The ratio of S&P 500 Growth to S&P 500 Value (**IVW -0.03%** / **IVE +0.93%**) has pushed up to important resistance at the top of its multi-year rising channel, with DeMark signals near the highs that bear watching for confirmation.

Rather than suggesting to sell into Technology ahead of any trend break, the more actionable call looks to be simply rotating out of Growth into Value. I think Growth likely gives way to Value over the next four to five months in a move that should coincide with Technology consolidating between now and October. So long as leadership keeps broadening into Healthcare, Financials, and Industrials, the market can hold up well even as the momentum names cool.

Once many of these stretched names in Semiconductors and Memory/Optical have had time to consolidate, it should make sense to revisit the momentum trade.

S&P 500 Growth vs. Value (IVW -0.03% / IVE +0.93% , weekly) – Reaching important resistance at the top of the multi-year rising channel



Source: Symbolik

Healthcare's strong Thursday gains are an early sign of the broadening, though the relative trend has yet to turn

Healthcare ranked among Thursday's strongest groups, a welcome sign that participation is finally broadening beyond Technology, and both REITs and Financials joined Healthcare in trading up over 2.00%.

Importantly, Healthcare looks to be breaking out on a relative basis to the S&P 500. As shown below, Equal-weighted Healthcare versus Equal-weighted **^SPX +0.30%** (**RSPH +2.55%** / **RSP +0.78%**) has just

exceeded a five-month downtrend line that had been ongoing (even on a short-term basis) since January of this year.

The DeMark exhaustion count had reached a “13 Exhaustion” per TD Combo as of Tuesday of this week, and this exhaustion signal was promptly confirmed as of Thursday’s close.

Thus, I am raising my Healthcare technical rating to Overweight on a tactical basis, expecting a strong period of relative strength in this sector which might last into the fall.

Biotech, Healthcare Services, and Pharmaceutical stocks all showed above-average gains in trading on Thursday, while even the downtrodden Medical Devices group has begun to stabilize and start to strengthen.

Equal-Weight Healthcare vs. Equal-Weight S&P 500 (

RSPH +2.55% / RSP +0.78% , daily) — Important breakout of the five-month downtrend should lead to outperformance in this seasonally bullish time



Source: Symbolik

Subdued AAll sentiment argues this is a rotation, not the start of a market top

Incredibly enough, despite a 20% rally since late March in roughly 9.5 weeks, the AAll bull-bear readings still show a very elevated reading of Bearish percentages.

The Bearish percentage reading came in at 37.00, outweighing the Bullish percentage at 36.30.

The percentage of Bulls remains well off the bullish extremes that have accompanied prior market peaks, and this spread continues to oscillate in neutral territory even as the averages press back to the highs.

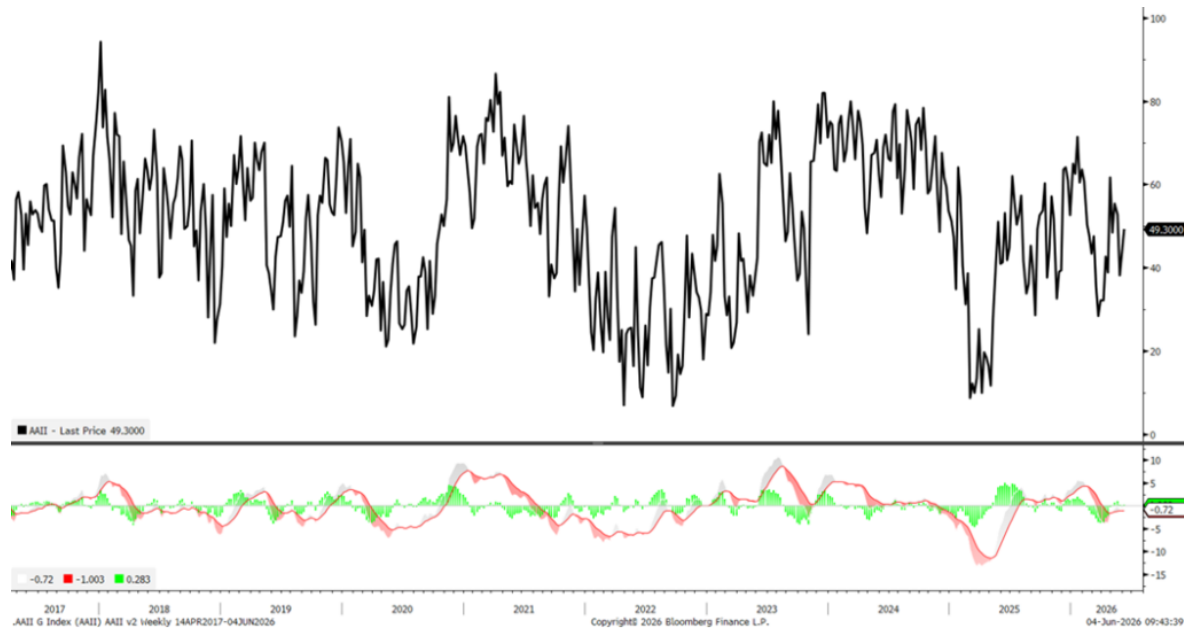
Furthermore, the percentage of Bearish reading being above Bulls and above 35% is certainly astounding given the market run in recent weeks.

This lack of exuberance is a contrarian positive, since durable tops typically form only once sentiment turns euphoric, which is plainly not the case today.

While positioning and put/skew were certainly a bit extreme in the last week and Equity put/call ratings did actually drop under 0.40, many of the retail and institutional polls I track remain well off bullish extremes.

Until this changes — and a meaningful ceasefire agreement very well might cause this to finally show more optimism — it looks right to favor that selloffs very well could prove shallow, for now.

AAll Bull-Bear Sentiment – Readings remain shy of the bullish extremes seen at prior market peaks



Source: Bloomberg

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